HOT ZONES CAN

Profit is real – so is the displacement risk

OVERHEAT THE CITY

Cape Horizon Realty uses data from Inside Airbnb Cape Town to identify profitable 'hot zones' for short-term rental investment. We processed listings in Python using pandas, visualised patterns with matplotlib and mapped locations with Folium. We cleaned price values, measured listing density by neighbourhood, estimated demand and income. We found that some areas like Ward 115 (CBD/Green Point) and Ward 54 (Camps Bay/Sea Point) have a lot of listings. The most expensive neighbourhood with the highest income is Ward 62 (Constantiaberg/Southern Suburbs). This indicates that dense neighbourhoods do not always deliver the most bookings. The ethical issue we face is housing displacement. Data-driven acquisitions can turn residential homes into hotel-like tourist accommodation. This reduces the long-term housing supply and raises rent pressure. Our rent projection for 2026 to 2031 shows that high-pressure wards are approaching or exceeding a tipping point for social license at around R25 000 per month. This could lead to more backlash from the community and a greater risk of regulatory intervention.